CISI Diploma in Investment Compliance

Regulation and Compliance

Chapter 4 Portal Slides

Knowledge | Skills | Conduct

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Chapter 4 Modules Overview

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Chapter summary

- Regulation of Markets: Trading on exchange
- Regulation of Markets: Alternative trading venues

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Regulation of Markets: Trading on Exchange

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Regulation of Markets and Settlement Systems

(4.1.1) Investment Exchanges [FCA]

- RIEs (5)
  - LSE
  - LME
  - Intercontinental Exchange (ICE)
  - Aquis Stock Exchange
  - Cboe Europe Equities
- ROIEs (30)
  - NASDAQ; ASX; 28 others
- DIEs (29)
  - NYSE; TSE; 27 others

Clearing Houses [BoE]

- RCHs (4)
  - Euroclear UK and Ireland (incl. CREST)
  - LCH Limited
  - LME Clear
  - ICE Clear Europe
- ROCHs (2)
  - ICE Clear US
  - CME

Exchange trading systems

(4.1.5) Order vs quote-driven exchange trading systems

- Order-driven – where there is high natural liquidity
  - Limit and market orders
  - Electronic trading
    - For example, LSE SETS
- Quote-driven – where there is less natural liquidity
  - Market-makers
    - Firm price quotes
    - Bid/offer spreads
  - Screen- and phone-based
    - For example, LSE SEAQ

Trading On-exchange or Over-the-counter: Summary

Trading on-exchange vs off-exchange ('over-the-counter')

	Over-the-counter (OTC)	Trading on exchange
Contract terms	• Bespoke: tailored to meet the needs of the investor	• Contract specifications standardised by the exchange
Liquidity	• Can be limited leading to slower execution	• Excellent on major contracts
Margin	• Normally no margin	• Margin normally required
Regulation	• Less stringent, but increasing regulation of products (e.g. via EMIR) • More stringent restrictions on who may invest in them	• Exchanges subject to significant regulation
Counterparty risk	• Exposed to default risk	• No member default risk due to clearing house
Reporting	• Confidentiality	• Market transparency
Price	• Negotiated or 'request for quote' (RFQ)	• Best execution
Hedging	• Specific hedging requirements can be met	• Hedges based on standardised contracts need to be actively managed

Declining Role of LSE

	Was	Now
Regulation of firms	LSE	FCA
Provision of settlement	LSE	Euroclear (CREST)
Regulation of primary market	LSE	FCA (UKLA)
Provision of secondary market	LSE	LSE + Rivals (other exchanges, MTFs etc.)

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Regulation of Markets: Alternative Trading Venues

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Alternative Trading Venues

	Purpose	Operator	Regulatory	Benefits
MTF	Equity trading where there is no exchange or competition for existing equity exchanges	Investment firms and market operators	Similar to an exchange, MAR 5	Improved liquidity and transparency vs. OTC markets
OTF	Similar to MTFs but for trading in bonds and derivatives	Investment firms and market operators	Similar to an exchange, MAR 5A	Same as MTFs
'Dark pool'	Exchange-traded liquidity with OTC confidentiality Anonymous trading through hidden orders	Investment firms and large fund managers	Considered OTC MiFID/MAR transparency rules do not apply	Able to move large volumes with less market impact
Systematic internaliser	Investment firm dealing as principal, matching orders directly with clients	Investment firms	Similar to an exchange, MAR 6	Creates direct liquidity without need for external markets

Multilateral Trading Facilities (MTFs)

(4.3.1) FCA Handbook requirements of MTFs

- MTFs regulated by MAR 5
  - Transparent and non-discretionary rules for fair and orderly trading
  - Objective criteria for the efficient execution of orders
  - Member firms to be fit and proper (and have appropriate levels of competence, organisation and resources)
  - Sufficient publicly available information to enable users (investors) to form a valid judgment
  - Having efficient settlement systems
  - Firms to monitor compliance by its users with the rules
  - Problems (e.g. rule breaches, market abuse, etc.) to be reported to FCA
  - Similar pre- and post-trade transparency requirements to exchanges (i.e. prices at which deals are advertised and transacted)
- OTFs regulated in a similar way by MAR 5A

Systematic Internalisers (SIs)

(4.5.1) Systematic internalisers (SIs)

- ‘An investment firm which, on an organised, frequent and systematic basis, deals on own account by executing client orders outside a regulated market or an MTF or OTF’
  - Effectively, this covers any firm which regularly deals as principal with its own clients – other than as a market maker on an exchange

FCA Handbook requirements of SIs

- SIs regulated by MAR 6
  - Pre-trade transparency requirements
  - Execution of orders at fair prices
  - Standards and conditions for trading
- Firm must notify the FCA when it becomes/ceases to be an SI
  - MiFID requires competent authorities to publish, and review annually, a list of all SIs which they have authorised as investment firms